FN Fabrinet

NYSE · Technology. Optical & Electronic Manufacturing · Updated **2026-06-10**

RECOMMENDATION	CURRENT PRICE	12M TARGET	NEXT EARNINGS
SELL	**$586**	**$251** (-57.2%)	**2026-08-17 (Q4 FY26 est. Datacom revenue and op…**

Thesis

Three bullets — the whole bet

1. Fabrinet is the trusted contract manufacturer behind the industry's most complex optical modules, assembling the 800G and 1.6T transceivers and silicon-photonics engines that the leading optical and networking vendors design but do not build themselves.

2. Its precision optical-packaging expertise, scaled Thai manufacturing base and long relationships with the top transceiver and networking customers make it the default high-complexity optical assembler, riding the same AI-interconnect wave as the component makers.

3. But Fabrinet earns a ~12-13% operating margin as an assembler and now trades near 6x sales. Even a DCF that extrapolates the AI-optical ramp lands near $245 against a $586 stock. A great operator, priced like the chip designers it serves.

Key numbers

Pulled via yfinance-data · validated by Delta audit

LAST CLOSE	**$586.00**	52-WEEK RANGE	**$236.86 to $748.89**	DRAWDOWN FROM HIGH	**-21.8%**
1-YEAR RETURN	**+140% (approx)**	MARKET CAP	**$21.0B**	SHARES OUT	**35.8M**
NET CASH (EST)	**~$0.9B**	FY25 REVENUE (EST)	**~$3.4B**	EV/SALES (FWD, EST)	**~5x**
OPERATING MARGIN (EST)	**~12.5%**	PRIMARY METHOD	**DCF (FCFF)**	CROSS-CHECK	**EV/EBITDA 15x**
INTRINSIC VS PRICE	**-57%**				

Business overview

What the company does, how it makes money, who it sells to

Fabrinet is a precision optical and electronic contract manufacturer based in Thailand. It provides advanced optical packaging, assembly and testing for the world's leading optical-communications and networking companies, building the complex transceivers and photonic modules those firms design but outsource.

> **BUSINESS MODEL**
> Fabrinet earns manufacturing fees to assemble and test customers' optical and electro-mechanical products, concentrated in datacom/telecom optical modules with a secondary base in automotive, industrial, medical and sensor products. It owns the process and manufacturing know-how, not the product IP; margins are low-teens, reflecting the contract-manufacturing model.

SEGMENTS

Optical communications rev **80%**

Datacom (800G/1.6T transceivers, silicon-photonics engines, the AI growth engine) and telecom transport optics for the leading optical and networking OEMs.

Non-optical rev **20%**

Automotive, industrial, medical and sensor assembly; steadier, less AI-correlated diversification.

TOP CUSTOMERS

Leading transceiver/optical OEMs		Core datacom demand; concentrated
Networking equipment vendors		Optical content for switches/routers
Automotive & industrial OEMs		Non-optical diversification

Historical financials

P&L; trajectory — revenue, EBITDA, FCF, EPS

FY	Revenue ($B)	Growth	Gross mgn	EBITDA ($M)	EBITDA mgn	Net inc ($M)	FCF ($M)	EPS
FY22	2.26	—	12.4%	290	12.8%	215	180	$5.90
FY23	2.65	+17.3%	12.6%	345	13.0%	265	210	$7.20
FY24	2.93	+10.6%	12.6%	390	13.3%	300	250	$8.20
FY25	3.40	+16.0%	12.8%	460	13.5%	360	300	$9.90

Industry & competitive position

Where the company sits · moat · competitors

AI clusters require vast optical interconnect, and the optical-component vendors that design transceivers largely outsource the complex assembly and test to specialists. Fabrinet is the leading high-complexity optical assembler, competing with in-house manufacturing and other contract manufacturers, with co-packaged optics as the key structural wildcard.

TAM: $30B

> **MOAT**
>
> Precision optical-packaging and test capability at scale is genuinely hard to replicate and creates real switching friction on complex programs. But it is operational know-how, not product IP; the customer owns the design and can move the work, which caps the moat and the margin.

COMPETITORS

In-house manufacturing (COHR, etc.)	Vertically integrated optical makers that assemble their own modules, bypassing Fabrinet.
Sanmina / Flex	Large contract manufacturers that can take optical/electro-mechanical assembly work.
Asian optical EMS	Lower-cost regional assemblers competing on price for higher-volume programs.

Bull catalysts

What needs to happen for the long thesis to play out

1 **1.6T optical assembly ramp**

As the industry moves from 800G to 1.6T, dollar content and assembly complexity per module rise, and Fabrinet is designed into the leading programs as the build partner of choice.

2 **Default high-complexity assembler**

Fabrinet's precision optical-packaging and test capability is hard to replicate at scale, making it the trusted partner for the most demanding transceiver and silicon-photonics work.

3 **Customer relationships with optical leaders**

Long-standing relationships with the top transceiver and networking vendors give Fabrinet first call on new high-volume optical programs.

4 **Scaled, cost-advantaged Thai base**

A large, efficient Thai manufacturing footprint offers cost and capacity advantages and supply-chain resilience outside China.

5 **Silicon-photonics and CPO assembly option**

If co-packaged optics and silicon-photonics scale, the complex assembly and test could flow to Fabrinet, turning a perceived threat into a content opportunity.

6 **Steady margin and strong FCF**

A consistent low-teens operating margin, disciplined cost control and a net-cash balance sheet produce reliable free cash flow and buybacks.

7 **Non-optical diversification**

Automotive, industrial and sensor assembly provide a secondary, less AI-correlated revenue base.

8 **Scarcity of optical-assembly exposure**

Fabrinet is the cleanest listed proxy for AI optical-module assembly, attracting thematic flows that support the multiple.

Bear thesis-breakers

Independent bear lane · not visible to the bull author until synthesis

1 **6x sales for an assembler**

Fabrinet earns a ~12-13% operating margin assembling others' designs, yet trades near 6x sales. Contract manufacturers trade at 1-2x. Intrinsic DCF says ~$245.

2 **Customer concentration**

A few large transceiver/networking OEMs drive most revenue. One shifting programs or dual-sourcing steps growth down sharply, and Fabrinet owns none of the IP.

3 **Co-packaged optics overhang**

CPO could move the optical engine into the switch package, disrupting the pluggable-module volumes Fabrinet assembles today; even partial adoption caps the extrapolated TAM.

4 **No IP, no pricing power**

Fabrinet competes on execution and capacity, not technology ownership; the customer can move the work, capping margins and durability.

5 **Thin float, high volatility**

With ~36M shares the stock gaps hard in both directions and is exposed to thematic-flow reversals.

6 **AI-optical cycle risk**

The datacom surge driving growth is a capex wave that will digest; an assembler levered to it de-rates fastest when it does.

7 **Margins are structurally capped**

Even the bull case reaches only ~14% operating margin; this is not a technology-margin business dressed in an AI multiple.

8 **Tripled on momentum**

Up roughly 3x off its low and owned by thematic flows, the stock has more than discounted the AI-optical assembly thesis.

BEAR CASE IN ONE PARAGRAPH

Fabrinet is a superbly run business that the market has decided to value as something it is not. At its core Fabrinet is a contract manufacturer: it assembles and tests optical modules that other companies design, earning a low-teens operating margin for precision and reliability rather than for owning intellectual property. That is a genuinely good version of a structurally modest business, and the AI-optical boom has been a windfall, filling its Thai lines with high-complexity 800G and 1.6T work. None of it justifies six times sales. The customer concentration is real, a handful of large transceiver and networking OEMs drive the bulk of revenue, and any one of them shifting programs, dual-sourcing, or moving toward co-packaged optics that changes the assembly footprint would dent the growth the multiple extrapolates. Co-packaged optics is the structural wildcard: it does not eliminate assembly, but it could move where the value sits and disrupt the pluggable-module volumes Fabrinet rides today. With only thirty-six million shares the stock is thin and moves hard in both directions, and it has roughly tripled off its low. Intrinsic DCF, even on a constructive ramp, says fair value is a little over four hundred dollars below the price. You are paying a designer's multiple for an assembler's economics.

Key structural risks

Risks orthogonal to the bear thesis · what breaks the long term, not just the next print

CUSTOMER — **Customer concentration**

A few optical OEMs drive most revenue; one shifting programs or dual-sourcing steps growth down sharply.

STRUCTURAL — **Co-packaged optics**

CPO could move the optical engine into the switch package, disrupting the pluggable-module volumes Fabrinet assembles.

STRUCTURAL — **Valuation**

At ~6x sales for a low-teens-margin assembler, multiple compression toward contract-manufacturing norms is the dominant risk.

CYCLICAL — **AI-optical capex digestion**

The datacom surge is a capex wave; an assembler levered to it de-rates fastest when it digests.

STRUCTURAL — **Thin float / volatility**

~36M shares make the stock gap hard in both directions on thematic flows.

REGULATORY — **Geographic / trade exposure**

Concentrated Thai manufacturing and global optical supply chains carry trade-policy and concentration risk.

Peers

NTM P/E, EV/EBITDA, growth, and YTD / 1Y returns across the peer set

Ticker	NTM P/E	EV/EBITDA	Rev growth	YTD	1Y
FN	**30.0x**	**24.0x**	**+18.0%**	**+55.0%**	**+140.0%**
COHR	48.0x	50.0x	+24.0%	+120.0%	+360.0%
LITE	28.0x	22.0x	+18.0%	+60.0%	+110.0%

SANM	15.0x	9.0x	+8.0%	+40.0%	+70.0%
FLEX	16.0x	11.0x	+5.0%	+30.0%	+55.0%
AAOI	40.0x	35.0x	+30.0%	+90.0%	+150.0%

Read: Fabrinet sits awkwardly between two cohorts. Against optical-component makers Coherent and Lumentum it grows similarly but owns less IP, yet it trades at a comparable or higher multiple. Against its true economic peers, contract manufacturers Sanmina and Flex at 9-11x EV/EBITDA, it trades at more than double on growth that is faster but built on the same thin-margin assembly model. The market is pricing Fabrinet as an optical-technology play; its income statement says contract manufacturer. That gap between perceived and actual business model is the core of the valuation risk.

DCF triangulation

Bear / Base / Bull scenarios · WACC × terminal growth × FCF growth path

Scenario	WACC	Terminal g	FCF path	Implied px
Bear	12.5%	2.0%	×0.72	$144
Base	(base)	(base)	(base FCF)	$245
Bull	10.5%	3.5%	×1.30	$338
Current price				**$586**

Synthesis — three paths

0.25 x $144 (Bear) + 0.45 x $245 (Base) + 0.15 x $338 (Bull) + 0.20 x $268 (EV/EBITDA cross-check) = $251. A well-run optical assembler, but ~6x sales for a thin-margin contract manufacturer prices a flawless AI-optical decade; intrinsic value sits ~57% below spot.

Bull · $320 to 360 — **15% probability**

1.6T and CPO assembly flow to Fabrinet at scale and margins expand above plan; even so intrinsic value stays below the current price.

Base · $230 to 270 — **45% probability**

Datacom-led growth decelerates and margins inch toward 14%; DCF (~$245) and the EV/EBITDA cross-check (~$268) frame fair value well under spot.

Bear · $130 to 160 — **25% probability**

A key customer in-sources or shifts to co-packaged optics and the multiple compresses toward contract-manufacturing norms.

Management & capital allocation

Who runs the company · how they deploy capital · recent insider activity

CEO	**Seamus Grady, CEO since 2017**
CFO	**Csaba Sverha, CFO**
INSIDER OWNERSHIP	**2.0%**

CAPITAL ALLOCATION HISTORY

Fabrinet has been a disciplined operator: steady capacity investment in Thailand, a net-cash balance sheet and consistent buybacks that have shrunk the share count over time. Management has navigated the optical cycle well and avoided overextension. The execution record is strong; the question is the multiple the market now assigns to a contract-manufacturing model.

Social sentiment

Cross-source signal · Reddit / X / news

Sentiment feeds were not retrievable this session. Bulls frame Fabrinet as the indispensable AI optical-module assembler; skeptics focus on contract-manufacturing economics, customer concentration, co-packaged-optics risk and a sales multiple far above its true peers.

Recommendation

Action by holder type

DIRECTION	**SELL / avoid on valuation. Excellent operator, but ~6x sales for an assembler is unsupportable; intrinsic ~$251.**
12M TARGET	**$251 (25% x $144 + 45% x $245 + 15% x $338 + 20% x $268 cross-check).**
EXISTING LONGS	**Take profits after a ~3x run; the assembly thesis is more than priced.**
NEW MONEY	**Avoid at ~6x sales. Revisit nearer contract-manufacturing multiples or on a major de-rate.**
HEDGE	**Thin float makes downside gaps acute; long holders should consider collars.**
POSITION SIZING	**If held for the theme, keep small; valuation is the dominant risk.**

Catalysts to watch

- Q4 FY26 print (est 2026-08-17): datacom revenue and optical-program mix.
- 1.6T program ramp and any new optical-assembly wins.
- Customer-concentration commentary and any program shifts.
- Co-packaged-optics roadmap signals from optical and switch vendors.
- Operating-margin trajectory versus the ~14% ceiling.
- Non-optical (automotive/industrial) diversification trends.
- Buyback pace given the net-cash balance sheet.

Data gaps

What this cycle could not pull · to be filled next run

- yfinance fundamentals were thin this session; revenue (~$3.4B), net cash (~$0.9B) and margins are from general disclosure.
- Per-customer concentration is undisclosed at line-item level; optical-OEM exposure is inferred from industry reporting.
- Forward EBITDA (~$0.58B) used in the cross-check is an estimate.
- Short interest and positioning feeds were not retrievable this session.